

Session 1.3: Multi-Sided Networks & Take Rates

Two-sided market mechanics, cross-side externalities, multi-homing costs, and DoorDash economics.

PART 1 (LECTURE)
60 Minutes

PART 2 (LAB PRACTICE)
60 Minutes

PART 3 (EXECUTIVE MEMO)
60 Minutes

STANDARD
Audited SEC Filings

Learning Objectives & Executive Overview

Clear conceptual grounding for undergraduate and graduate business students.

CORE COMPETENCIES

Goals

What You Will Master Today

- **Theoretical Mastery:** Evaluate seminal literature and analytical frameworks governing platform competition.
- **Empirical Rigor:** Reconcile management strategic claims with legally audited statutory filings.
- **Data Modeling:** Execute spreadsheet calculations with explicit coordinates and formula logic.
- **Executive Formulation:** Deliver structured board-level recommendations resolving complex trade-offs.

TWO-SIDED MARKETS

Vocabulary

Key Topical Foundations

- **Rochet & Tirole::** Cross-side network effects & side balance.
- **Armstrong Framework::** Single-homing vs. multi-homing dynamics.
- **Platform Governance::** Managing rules across buyers and suppliers.
- **Micro-Examples::** Food delivery, app stores, credit card networks.

Theoretical Foundations: Two-Sided Markets

Rigorous analytical frameworks and literature benchmarks.

THEORETICAL ARCHITECTURE

Literature

Seminal Framework Insights

- **Rochet & Tirole::** Cross-side network effects & side balance.
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STRATEGIC APPLICATION

Analysis

Business Model Mechanics

- **Three-Sided Model::** Merchants, consumers, and Dashers (2021-2023).
- **Multi-Homing Friction::** Restaurants listing on Uber Eats & Grubhub.
- **Suburban Focus::** Winning high-basket suburban geographies.
- **Software Lock-In::** DoorDash Drive backend fulfillment integration.

STRATEGIC TAKEAWAY

Two-sided market mechanics, cross-side externalities, multi-homing costs, and DoorDash economics.

Enterprise Case Dissection: DoorDash Trajectory

Historical case evidence and multi-year corporate trajectory analysis.

CORPORATE DYNAMICS

Timeline

Market Conditions & Strategic Moves

- *Three-Sided Model::* Merchants, consumers, and Dashers (2021-2023).
- *Multi-Homing Friction::* Restaurants listing on Uber Eats & Grubhub.
- *Suburban Focus::* Winning high-basket suburban geographies.
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ANALYTICAL FOCUS

Evidence

Operational & Financial Findings

- *DoorDash 10-K Data::* Marketplace GOV, GAAP Revenue, Order volume.
- *Take Rate %::* $\text{GAAP Revenue} / \text{Marketplace GOV} (=C2/B2*100)$.
- *AOV & S&M Unit::* Average order value & marketing cost per order.
- *Margin Analysis::* Verifying take rate expansion from 12% to 13%+.

Lab Dataset & Empirical Metrics: Applied Excel Lab

Reconciling corporate filings with explicit spreadsheet formulas.

SPREADSHEET MODELING

Lab Spec

Data Metrics & Formulas

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MANAGEMENT DILEMMA

Decision Lab

Strategic Tension

- *Profitability Paradox::* \$8.6B revenue yet -\$558M GAAP net loss in 2023.
- *Switching Costs::* DashPass subscriptions & retail cross-selling.
- *Operational Breakeven::* Required % reduction in S&M expenses.
- *Strategic Memo::* Roadmap to sustainable GAAP operating margin.

Executive Problem Solving: Executive Lab

Framing complex management dilemmas and evaluating corporate trade-offs.

EXECUTIVE CHALLENGE

Dilemma

Corporate Strategic Tension

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EVALUATION RUBRIC

Requirements

Board-Level Deliverable

- **Actionable Recommendation:** Formulate a concrete 3-bullet decision brief for senior leadership.
- **Quantitative Defense:** Support recommendations using audited financial metrics from the lab spreadsheet.
- **Risk Mitigation:** Address channel friction, partner resistance, or competitive retaliation.
- **Implementation Timeline:** Define immediate 90-day execution milestones.

Lab Transition: 120-Minute Hands-On Execution

Transitioning from lecture observation to hands-on data manipulation and strategic decision-making.

EXERCISE 1: FOUNDATIONAL PRACTICE

60 Min Lab

Applied Excel Lab

Hands-on spreadsheet protocol using audited historical numbers:

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EXERCISE 2+: ADVANCED PROBLEM SOLVING

60 Min Memo

Executive Lab

Applied scenario analysis, trade-off evaluation, and executive brief:

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